AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2023

Business Studies Paper II

Time: 1 hour 50 minutes Marks: 35

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are ELEVEN questions. Answer ALL questions. Questions 11 offer TWO choices. Attempt any ONE.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 4 Marks)

After completing his BBA, Arman is planning to establish a business. He is reflecting on various parameters to establish his business as a sole proprietorship or a partnership business.

In order to help Arman, explain any TWO major merits of either one of the following.

- Sole proprietorship
- Partnership business

Q.2. (Total 3 Marks)

Identify each of the given scenarios with reference to the methods of business integration (external growth).

S.No	Scenario	Methods of Business Integration
1	Imperial Cars, a distributor of cars and vehicles, has also taken over a housing project called Al-Falah Homes. The business will be managing the housing project along with the car selling business.	
2	Alpha Steel, a manufacturer of steel bars takes over Bravo Steel and now the product will be marketed under the trade name of Alpha & Bravo Brothers.	
3	Toys & Toys is a manufacturer of different board games. Toys & Toys have taken over Bits Town, a manufacture of dices and beats, and will now manufacture dices and beats too.	

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Q.3. (Total 4 Marks)

Explain any TWO functions of management given by Henri Fayol in his book, '*Industrial and General Administration*'.

Q.4. (Total 2 Marks)

Chain of command and span of control are two ways of business management.

a. Give ONE difference between the two ways. (1 Mark)

Chain of command	Span of control

b. Mention how the chain of command impacts the span of control of a business. (1 Mark)

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Q.5. (Total 3 Marks)

Define any THREE of the following heads of accounts:

Assets _____

_____

Liabilities _____

_____

Expenses _____

_____

Revenues _____

_____

Capital _____

_____

Q.6. (Total 2 Marks)

With reference to the accounting equation, compute the missing figure in the following table.

Assets	Liability	Capital
?	10,000	15,000
60,000	20,000	**?**

_____

_____

_____

_____

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Use the following information to Answer Q.7 and Q.8.

A bake house bakes 150 cakes per day with 7 workers working 8 hours a day.

Q.7. (Total 2 Marks)

Calculate the time and labour productivity of the business with reference to the given information.

Q.8. (Total 3 Marks)

Explain any THREE ways through which the business can improve its productivity.

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Q.9. (Total 3 Marks)

Identify the pricing strategy applied in the given scenarios (Attempt any THREE).

S. No.	Business Scenario	Type of Pricing Strategy
1	Karachi Fast Foods followed a fixed 15% profit rate on all its menu items.	
2	Faysal Bank declared 9.99% interest rate on its car financing scheme to keep the interest in single digits and market the scheme.	
3	Lux Beauty Soap has introduced a new range of liquid beauty soaps with extracts from flowers. The company launched the product range with low prices with a 'buy one get one free' offer.	
4	Desi Galli has set the lowest price rate and deals on their menu in a mall's food court as compared to other outlets in the court.	

Q.10. (Total 2 Marks)

Market segmentation is a strategy adopted by a business that allows it to convey its content to its target audience at the right time.

Describe any TWO merits of the given business strategy.

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Q.11. (Total 7 Marks)

EITHER

a. Aman Associates would like to purchase a plastic manufacturing plant from Alpha Corporation.

The following information is required by Arman Associates from the plant manufacturer:

- Estimate life of the plant
- Yearly estimated maintenance cost
- Average fuel and energy charges
- Taxation and discount (trade and cash)
- Delivery charges of installation of plant and test run along with time required for delivery.

Considering the given information, draft a product inquiry e-mail.

OR

b. Yasir Private Limited has purchased a plant machinery for Rs 1 million.

The following expenditures occurred while purchasing or installing the plant:

- Transportation charges Rs 135,000
- Plant Insurance premium Rs 350,000
- Loading and unloading charges Rs 80,000
- Fixation and trail run charges Rs 75,000
- Lubrication of machine Rs 25,000
- Extra components installation to improve efficiency Rs 50,000

Compute the capital and revenue expenditure in the given situation.

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